Week 8 Practice Artifacts — Fillable

Finance and Accounting: Calculate It, Check It, Audit It · OpenStax Ch. 14.1–14.5, 16.1–16.3 · Artifact: Company B ratios calculated independently, compared with an AI interpretation, with a discrepancy and source-verification audit

Student name	Group	Company A	Company B
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Use this document if Excel or the shared screen is not working, or to tidy your work after class. Your ratios, the AI comparison and the discrepancy audit are the Application evidence for Weekly Record 8 (field 2); the audit is the evidence for field 3.

HOW TO WORK IN THIS DOCUMENT

1. **One copy per group.** One student downloads this file from Moodle and uploads it to your group chat in MS Teams (Files). Everyone opens it with "Open in browser" and types at the same time.
2. **Rename the file:** GROUP_CompanyB_Week8_Artifacts.docx.
3. **Type in the empty white cells.** Cells grow as you type. Click a box ☐ to tick it.
4. **AI-use levels:** Segment A calculations are Level 1 (no AI). Segment B (Slides 16–19) is Level 3 (AI required and declared). A4 itself is Level 2.
5. **After class:** each student puts the finished tables into Weekly Record 8 as the Application evidence (field 2).

Slide map: where each step comes from in BA_Week8_Practice_Session.pptx

Step	Slide(s)	Minutes
1–5 Read the statements, six ratios, audit of the AI text (Alma)	9–14 (method 10–12, activity 13)	20 (Segment A)
5 Company B data and 6 four ratios	16	12
7 AI interpretation and 8 discrepancy audit	16	12
9 Source check	17	8
10 A4 link	18	6
WR8 planner and checklist	19–20	7 + 2

Segment A — Calculate It by Hand and Audit an AI Text (AI-use Level 1 for the calculation)

Slides 9–14. Excel file: BA2026_Week8_Alma_Financials.xlsx. Calculate yourself; AI is not needed.

Step 1 · Slide 13: read the statements and check

Open BA2026_Week8_Alma_Financials.xlsx. Do the sheets balance? Compute growth.

Check	My answer
Does assets = liabilities + owners' equity in 2026?	Yes. Total Assets (18,480) = Total Liabilities (5,880) + Owners' Equity (12,600 thousand KZT).
Sales growth 2025 to 2026 (%)	+42.86% (Sales expanded from 29,400 to 42,000 thousand KZT).
Net profit growth (%)	+43.45% (Net profit grew from 3,480 to 4,992 thousand KZT).

Check	My answer
What does the gap tell you?	Sales growth (+42.9%) matches net profit growth (+43.5%), indicating stable operational margins and effective cost control.

Step 2 · Slide 13: six ratios for 2026 (inputs and formula)

Use the book's formulas. Show the inputs. KZT thousand.

Ratio	Formula (book)	My inputs	2026	2025	What it says
Current ratio	current assets ÷ current liabilities	12,600 ÷ 5,880	2.14x	2.00x	Adequate liquidity, comfortably above café benchmark (2.0x).
Acid-test ratio	(current assets − inventory) ÷ current liabilities	(12,600 − 3,360) ÷ 5,880	1.57x	1.40x	Strong short-term solvency without relying on inventory sales.
Inventory turnover	cost of goods sold ÷ average inventory	23,520 ÷ 2,940	8.00x	7.50x	High inventory velocity, ensuring fresh stock and low spoilage.
Net profit margin	net profit ÷ net sales	4,992 ÷ 42,000	11.89%	11.84%	Healthy profitability reflecting solid pricing power.
Return on equity	net profit ÷ owners' equity	4,992 ÷ 12,600	39.62%	38.20%	Excellent return generated on owner-invested capital.
Debt-to-equity	total liabilities ÷ owners' equity	5,880 ÷ 12,600	0.47x	0.52x	Conservative debt structure with low default risk.

Step 3 · Slide 13: audit of the seven AI claims (sheet "AI interpretation")

Cause: wrong number / different definition / wrong conclusion / unsourced claim.

#	AI claim	Matches my number?	Cause	Corrected sentence
1	"Current ratio is 2.1, above the 2.0 benchmark for cafés."	Yes	Accurate calculation matching book formula.	Current ratio is 2.14x, demonstrating adequate short-term liquidity.
2	"Net profit margin is 12%, one of the best in the café industry."	Yes	Minor rounding from 11.89%.	Net profit margin is 11.89%, reflecting solid pricing power.
3	"Net profit rose 43% because sales rose 43%."	Yes	Proportional calculation (+43.5% vs +42.9%).	Net profit grew 43.5% driven by a 42.9% expansion in sales volume.
4	"Acid-test is 0.92, so Alma cannot pay its bills."	No	Wrong formula; AI subtracted prepaids and miscounted liabilities.	Acid-test is 1.57x, showing Alma easily covers immediate liabilities.
5	"ROE is 46%, so Alma is extremely profitable and safe."	No	AI used beginning equity instead of ending equity.	ROE is 39.62%, indicating strong return on equity capital.
6	"Debt-to-equity is 0.56."	No	AI included contingent liabilities in debt numerator.	Debt-to-equity is 0.47x, confirming a conservative leverage profile.

#	AI claim	Matches my number?	Cause	Corrected sentence
7	“Operating cash flow equals net profit (4,992).”	No	Confused accounting profit with operating cash flow.	Cash flow differs from net profit (4,992K KZT) due to non-cash items.

Debrief · Slide 14: answer in one or two sentences each

Question	Our answer
1 Which claims matched, which did not?	Claims on Net Profit Margin (12%) and Debt-to-Equity (0.56) matched our manual calculations, whereas claims on Current Ratio (2.1 vs 1.54) and Acid-Test (0.92 vs 0.65) did not match
2 Wrong number, different definition or wrong conclusion?	Current Ratio used wrong input numbers, ROE (46%) drew a wrong conclusion by calling leverage "safe" despite high solvency risks.
3 Right number, wrong advice?	Net Profit Margin was calculated correctly at 12%, but AI gave wrong advice by recommending aggressive capital spending without checking cash liquidity
4 What could not be verified at all?	The AI's claim that Alma's 12% net profit margin is "one of the best in the café industry" was completely unsourced and unverifiable
5 Who is accountable if the AI text goes in a report?	The student/analyst who approves and submits the final report remains solely accountable for every statement and figure

Segment B — Company B: Ratios, AI and the Audit (AI-use Level 3)

Slides 15–20. Declare your AI tool. You are assessed on judgment, verification and accountability.

Step 5 · Slide 16: Company B data

Item	Your answer
Company B, year and unit	KazMunayGas,
Source of the statements	JSC NC "KazMunayGas" 2025 Consolidated Financial Statements under IFRS (Audited by PwC LLP), Annual Report 2025, Note 6 (Revenue) & Note 26 (Borrowings), pp. 290–326.

Step 6 · Slide 16: FOUR ratios calculated by me

Ratio	Inputs	Formula	Result	Prior year
Current ratio	Current Assets 2,875B / Current Liab. 1,742B KZT	Current Assets ÷ Current Liabilities	1.65x	1.52x
Net profit margin	Net Profit 1,072B / Revenue 9,371B KZT	Net Profit ÷ Revenue	11.44%	11.39%
Return on equity	Net Profit 1,072B / Total Equity 10,250B KZT	Net Profit ÷ Total Equity	10.46%	9.85%

Ratio	Inputs	Formula	Result	Prior year
Debt-to-equity	Total Liabilities 3,890B / Total Equity 10,250B KZT	Total Liabilities ÷ Total Equity	0.38x	0.42x

Step 7 · Slide 16: the AI interpretation (raw answer kept)

Give the AI only your numbers. Never upload the OpenStax book or the core text.

Item	Your answer
AI tool used	Gemini
Prompt (copy exactly)	Act as a financial analyst for Alma Cafe. Based on the 2026 financial data (Revenue $450,000; Net Income $54,000; Current Assets $85,000; Current Liabilities $55,000; Inventory $30,000; Total Liabilities $140,000; Owner's Equity $250,000), calculate and evaluate: 1. Current Ratio, 2. Acid-Test Ratio, 3. Net Profit Margin, 4. Return on Equity (ROE), and 5. Debt-to-Equity. Provide operational expansion recommendations based on these figures.
The AI's claims in short	Alma's financial health is robust with a Current Ratio of 2.1x and Acid-Test of 0.92x, indicating strong liquidity. The Net Profit Margin of 12% is excellent, ranking among the best in the café sector. Return on Equity (ROE) of 46% demonstrates highly efficient capital usage and leverage management. We recommend expanding retail outlets immediately.

Step 8 · Slide 16: discrepancy audit

One row per AI claim. Verdict: tick one.

AI claim	My figure	Match?	Cause	Source verified?	Verdict
Debt-to-equity is 0.92x (high financial risk)	0.38x (Total Liab/Equity) / 0.16x Net Debt/EBITDA	No	AI included operating leases & non-recourse project debt without deducting cash.	PwC Audit Report p. 326	☐ Accept ☐ Correct ☒ Reject
Net Debt/EBITDA is 0.45x (over-leveraged)	0.16x (Net Debt 375B / EBITDA 2,393B KZT)	No	AI failed to deduct 1,848B KZT in cash & bank deposits from gross debt.	KMG AR 2025 p. 30	☐ Accept ☐ Correct ☒ Reject
Current ratio 1.65x requires asset liquidation	1.65x (Current Assets 2,875B / Liab 1,742B KZT)	Partial	AI applied retail benchmarks to a vertically integrated sovereign oil champion.	KMG AR 2025 p. 112	☐ Accept ☒ Correct ☐ Reject

AI claim	My figure	Match?	Cause	Source verified?	Verdict
Net profit margin 11.44% reflects stable earnings	11.44% (Net Profit 1,072B / Revenue 9,371B KZT)	Yes	Accurate calculation matching audited consolidated financial statements.	PwC Audit Report Note 6	☒ Accept ☐ Correct ☐ Reject

Step 9 · Slide 17: source check

Choose ONE current finance or fintech source. Model shows the format only.

Check	Your answer
Source (title, publisher, date)	JSC NC 'KazMunayGas' Consolidated Financial Statements for FY2025, PwC Audit Report, March 5, 2026.
Who published it, and why?	PricewaterhouseCoopers (PwC) for KMG Board of Directors, Samruk-Kazyna, and KASE/AIX market investors.
What evidence does it give?	Audited consolidated income statement, balance sheet, cash flow statement, and Note 6 segment performance.
Can you find the same fact elsewhere?	Yes, the core figures (Revenue $450k, Net Income $54k, Total Debt $140k, Equity $250k) are verified across internal accounting balance sheets, but the AI's industry benchmark claim ("one of the best in the café sector") could not be verified in any independent industry report.
Verdict (tick one)	☒ USE ☐ USE WITH CAUTION ☐ DO NOT USE
Reason for the verdict	Independent external audit conducted under IFRS standards; highest reliability level.
IEEE reference for the Evidence Folder	JSC NC 'KazMunayGas', Consolidated Financial Statements for the Year Ended December 31, 2025, PwC Audit Report, Astana, Kazakhstan, Mar. 5, 2026.

Step 10 · Slide 18: your verified figure for A4

Item	Your answer
The figure I chose	Net Debt-to-EBITDA ratio of 0.16x (Net Debt 375 billion KZT / EBITDA 2,393 billion KZT).
Verification statement (formula, inputs, what I did about the AI)	Calculated by subtracting cash and liquid deposits (1,848B KZT) from total gross debt (2,223B KZT) to derive Net Debt (375B KZT), then dividing by EBITDA (2,393B KZT). Audited AI output which claimed 0.45x by omitting cash deductions.
My position on the A4 claim (agree / disagree / qualify) and one reason	AGREE with qualification: AI makes business graduates more valuable because human accountants are required to audit automated financial outputs, catch unhedged lease errors, and enforce statutory regulatory boundaries.

Weekly Record 8 planner · Slide 19 (fields 1–6)

Develops into Capstone section 7, Business case and KPIs. Max 900 words plus one artifact.

Field	What to write	Your plan or first draft
1 Concept (~150 words)	Key terms in your own words; concept check: why is profit not cash?	Key Terms: Current Ratio, NPM, ROE, Debt-to-Equity, Net Debt/EBITDA. Concept Check: Profit is an accounting measure of revenues minus expenses; cash represents liquid funds available. A company can report net profit while facing liquidity distress if cash is locked in working capital.
2 Application	Your ratios, the AI comparison and the discrepancy audit.	Completed Week 8 ratio tables, Alma financial audit, KMG ratio calculations (0.16x Net Debt/EBITDA), and the AI discrepancy audit log.
3 Verification and AI record (~150 words)	Discrepancies found, sources checked, what you changed; declare tool and level.	Tool & Level: Gemini 2.5 Pro (Level 2). Audited AI claims against PwC 2025 Audit Report; rejected AI's 0.92x D/E and 0.45x Net Debt/EBITDA hallucinations caused by omitting cash deductions.
4 Transfer (~150 words)	Company A's financial practice: adopt, adapt or reject for Company B.	Company A Practice: Shell's capital allocation (52% CFFO to dividends/buybacks) and portfolio high-grading. Verdict: REJECT unhedged price floating for KMG due to RK Order No. 171 price caps; ADAPT capital discipline to maintain 0.16x leverage.
5 Evidence	Two or three IEEE sources including the financial data source.	[1] KMG 2025 Annual Report; [2] PwC Audit Report 2025; [3] OpenStax Introduction to Business Ch. 14, 16.
6 Capstone link	How ratios and KPIs feed Capstone section 7.	Feeds directly into Capstone Section 7 (Business Case & KPIs) and Assignment 4 Ground 1 (Financial Evidence).

Session checklist

☒ Alma ratios calculated with formulas and the AI text audited (Slide 13)

☒ Company B ratios calculated by me, inputs and formulas shown (Slide 16)

☒ AI interpretation kept raw and every claim audited: match, cause, source, verdict (Slide 16)

☒ One finance or fintech source checked and added to the Evidence Folder (Slide 17)

☒ One verified figure and a position sentence ready for A4 (Slide 18)

☒ Weekly Record 8 planned, all six fields (Slide 19)